virtually forced to accept whatever type of security was offered them. But in recent years the preferred issues created through reorganization have been preponderantly cumulative, though in some cases this provision becomes operative only after a certain interval. Austin Nichols and Company $5 Preferred, for example, was issued under a Readjustment Plan in 1930 and became cumulative in 1934. National Department Stores Preferred, created in 1935, became fully cumulative in 1938.

Chief Objection to Noncumulative Provision. One of the chief objections to the noncumulative provision is that it permits the directors to withhold dividends even in good years, when they are amply earned, the money thus saved inuring to the benefit of the common stockholders. Experience shows that noncumulative dividends are seldom paid unless they are necessitated by the desire to declare dividends on the common; and if the common dividend is later discontinued, the preferred dividend is almost invariably suspended soon afterwards.[7]

Example: St. Louis-San Francisco Railway Company affords a typical example. No dividends were paid on the (old) preferred issue between 1916 and 1924, although the dividend was fully earned in most of these years. Payments were not commenced until immediately before dividends were initiated on the common; and they were continued (on the new preferred) less than a year after the common dividend was suspended in 1931.

The manifest injustice of such an arrangement led the New Jersey courts (in the United States Cast Iron Pipe case)[8] to decide that if dividends are earned on a noncumulative preferred stock but not paid, then the holder is entitled to receive such amounts later before anything can be paid on the common. This meant that in New Jersey a noncumulative preferred stock was given a cumulative claim on dividends to the extent that they were earned. The United States Supreme Court however,

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[7] Kansas City Southern Railway Company 4% Noncumulative Preferred, which paid dividends between 1907 and 1929 while the common received nothing, is an outstanding exception to this statement. St. Louis Southwestern Railway Company 5% Noncumulative Preferred received full dividends during 1923–1929 while no payments were made on the common; but for a still longer period preferred dividends, although earned, were wholly or partially withheld (and thus irrevocably lost).

[8] *Day v. United States Cast Iron Pipe and Foundry Company*, 94 N.J. Eq. 389, 124 Atl. 546 (1924), *aff'd*. 96 N.J. Eq. 738, 126 Atl. 302 (1925); *Moran v. United States Cast Iron Pipe and Foundry Company*, 95 N.J. Eq. 389, 123 Atl. 546 (1924), *aff'd*, 96 N.J. Eq. 698, 126 Atl. 329 (1925).